



MARKET ANALYSIS & CONSUMER INSIGHTS



PESTEL ANALYSIS

▲ Opportunity
▼ Threat

ECONOMICAL

- While the overall shampoo market is declining (-3% in value), the "Health" segment is growing (+16%), indicating consumers are willing to invest in premium, natural products despite higher prices.
- The shampoo market in France is experiencing a decline, with a 3% reduction in value and a 5% reduction in volume, there's less consumer spending on shampoo, so capturing consumer attention requires a strong, differentiated value proposition.

SOCIAL

- There's a growing demand for gentle, natural dandruff solutions as 50% of consumers experience dandruff but are wary of harsh chemicals. H&S Bare meets this need by offering effective protection with minimal ingredients.

ENVIRONMENTAL

- Increased environmental awareness leads consumers to prefer products with a reduced ecological footprint, making H&S Bare's sustainable features highly appealing.

KEY COMPETITORS ANALYSIS

Head & Shoulders Bare shampoo has carved out a niche in the **dandruff care market** by emphasizing a gentle, effective approach to scalp health. Its minimalist formulation appeals to consumers looking for an **everyday solution** to dandruff that doesn't compromise on care. However, it **faces competition** from various brands that offer unique formulations and benefits.



Dove's DermoCare line is designed to provide gentle, effective solutions for dandruff while maintaining hair health. The brand focuses on moisturizing properties and a sulfate-free formula ideal for individuals with mild to moderate dandruff looking for a gentle, everyday solution that doesn't compromise on moisture.



Schauma is designed to combat dandruff while caring for the hair and scalp. As a budget-friendly option, it is accessible to a wide audience. Ideal for individuals with mild to moderate dandruff who are looking for an effective and affordable solution without compromising on hair care.



Neutrogena's T/Gel line is renowned for its medicated approach to treating dandruff and other scalp conditions, particularly psoriasis and seborrheic dermatitis. Targets consumers dealing with more persistent dandruff or scalp conditions, including those looking for medically-oriented solutions.

There are many products in the market that target the scalp and dandruff. Examples include high-end salon brands, pharmacist recommended medicinal brands and widely accepted FMCG brands. In the case of **H&S Bare**, it is widely known by consumers for its **high efficiency and low price**. Brands with the same strategy such as Dove, Schauma and Neutrogena are our **direct competitors**.



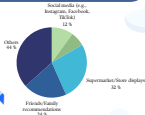
CONSUMER INSIGHTS

Based on the 103 answers we got from our online qualitative survey, we got the following insights from customers:

- 36% had used H&S products within the last year
- Health benefits of the shampoo is considered as the most important factor by respondents followed by the price, when purchasing shampoo.

Out of the 25 respondents buying anti-dandruff shampoo:

- The majority considered the natural ingredients in the shampoo as an important factor
- Only 20% knew the H&S Bare products from different type of communication channel



KEY TAKEAWAYS

Market Decline

Shampoo market is shrinking (-3% value, -5% volume) thus having strong differentiation is key.

Consumer Demand

50% of consumers want gentle, chemical-free dandruff solutions and H&S Bare meets this need.

Environmental Appeal

Increased environmental awareness makes consumers prefer sustainable products. Bare's eco-friendly packaging and natural formulation align with this trend.

Positioning Opportunity

Bare can position itself as the natural, health-focused dandruff solution, filling a unique space in the market.



MARKET STRATEGY PLANNING

STRATEGIES

Market Leadership: Strong brand recognition as a leader in the dandruff segment.

Innovative Product: Minimal ingredient formula addresses demand for gentler, natural products.

Eco-Friendly Packaging: Sustainable, recyclable packaging appeals to environmentally conscious consumers.

Trusted Brand: High consumer trust in H&S for effective dandruff solutions.

High Price Point: Positioned as a premium product, which may limit appeal to price-sensitive consumers.

Low Initial Awareness: H&S Bare has low market penetration and awareness since its recent launch.

Ambitious Market Share Goal: Targeting a 5% share in a competitive market is challenging.

Economic Pressures: Market contraction may push consumers toward more affordable options.

High Competition: Strong competitors in the natural and cosmetic segments.

Consumer Skepticism: Potential doubt about the effectiveness of "natural" anti-dandruff products.

Growing Demand for Natural Products: Increasing preference for low-chemical, natural shampoos.

Rising Environmental Awareness: Opportunity to capture eco-conscious consumers with sustainable packaging.

Digital Marketing Potential: Platforms like Pinterest offer effective channels to reach health-conscious consumers.

SWOT Analysis

SEGMENTATION

We consider that this **benefit-sought segmentation** is more representative of the different needs and wants. Using a demographic segmentation as initially done would not clearly gather the heterogeneity of the consumers as both women and men use H&S products for specific benefits they are looking for.

This segmentation was made based on the results of our **online questionnaire** which help us identify the most important benefits people were looking into when buying shampoo: **Health benefits, dermatologically tested certifications and affordable prices.**



HEALTH CONSCIOUS CONSUMERS

Name: Sarah, 32, Nutritionist

Motivation: Values clean, natural products with minimal ingredients.

Buying Trigger: Chooses H&S Bare for its transparent, additive-free formula that aligns with her holistic lifestyle.

SKIN-SENSITIVE SEEKER

Name: Mark Thompson, 34, IT Consultant

Motivation: Mark has a history of scalp irritation and trusts dermatologist-tested products to avoid flare-ups. He prioritizes safety and effectiveness for his sensitive skin.

Buying Trigger: Chooses H&S Bare for its dermatologist-tested certification, feeling assured it's formulated to be gentle and non-irritating.



PRICE SENSITIVE

Name: Sarah Thompson, 38, housewife

Motivation: Sarah seeks affordable, quality health products that fit her budget while supporting her healthy lifestyle.

Buying Trigger: Sarah is motivated to purchase when she sees special offers, coupons, or loyalty rewards that enhance the perceived value of the products.



SO

- Use H&S's strong brand trust and recognition to promote "Bare" as a trusted, natural option for dandruff control.
- Emphasize sustainable packaging in digital marketing campaigns to attract eco-conscious consumers.

WO

- Counteract the high price point by highlighting the value of natural ingredients and health benefits, appealing to those specifically looking for gentler dandruff solutions.

ST

- Address consumer skepticism about natural efficacy by reinforcing H&S's proven success in dandruff solutions, now with a gentler formula.

WT

- Set realistic growth targets and focus initially on building brand awareness and consumer loyalty before aggressively pursuing market share.

TARGETING

As a target group for the H&S Bare, the group should focus on the **Health conscious consumers.**

WHY?

It is a rapidly growing market projected to reach **\$12.9 billion by 2031** with a **10.9% growth rate annually.**

These consumers prioritize **natural, ingredient-transparent products**, which aligns closely with H&S Bare's values and product capabilities.

Competition in the **health-conscious personal care** market is intense, with major players. However, the strong branding of H&S and its innovative capabilities makes it a good candidate for this market.

By differentiating through **transparency and minimalism**, H&S Bare can effectively meet the needs of a market that values health, quality, and authenticity.



POSITIONING

Customer Value Proposition

H&S Bare is positioned to excel in functional (high-quality ingredients), emotional (peace of mind), and social impact (ethical, environmentally-conscious sourcing) values, with a strong emphasis on health and authenticity.

Positioning statement

For health-conscious consumers seeking pure, transparent, and high-quality personal care, H&S Bare offers minimalist products with simple ingredients, providing peace of mind and authenticity in a market filled with complex, additive-heavy options.

Unique Value Proposition

H&S Bare targets health-conscious consumers by delivering personal care products that are effective and transparent. The brand emphasizes minimalism and ethical sourcing, offering clear ingredient lists while avoiding synthetic additives. This approach aligns with the growing consumer demand for purity and integrity in personal care products, reflecting a trend towards sustainability and environmental responsibility. By prioritizing health and safety, H&S Bare meets the expectations of informed consumers who seek authentic, responsible choices in their personal care routines.

MARKET MIX CONCEPT

Pricing Strategy & Promotional Offers

The **pricing strategy** for H&S Bare should reflect its positioning as a premium, minimal-ingredient shampoo within the trusted Head & Shoulders lineup. Setting the price slightly above standard H&S shampoos—around **10-15% higher**—will communicate its specialized value for consumers with sensitive scalps, while still keeping it accessible.

To encourage trial, an introductory promotion, like **"buy one, get one 50% off"** could attract existing H&S users who may be unfamiliar with H&S Bare's unique benefits.

Additionally, multi-pack discounts and subscription pricing on e-commerce channels would provide loyal customers with cost savings and encourage consistent use. This pricing approach positions H&S Bare as a trusted yet elevated choice, effectively bridging the gap between mainstream and specialty shampoos for consumers seeking gentle, minimal-ingredient solutions.



Product Recommendation

DESIGN

According to our survey only **20%** recognized the product despite H&S being the most purchased brand in the last year. Thus, in order to improve brand awareness the **BARE** can use a packaging redesign to emphasize its connection with trusted H&S family. Keeping the bottle design similar to the Head&Shoulder's original shampoo bottle and highlighting the unique benefits like its **minimal ingredients** on the package could make it more appealing to **health-conscious buyers**.



To increase engagement, the packaging could feature a **QR code** at the back directing customers to a short video or landing page detailing H&S Bare's benefits and positioning within the H&S line. This interactive element offers an educational touchpoint for more informed purchase decisions.



MATERIAL

Since eco-friendliness ranked relatively low in importance (2.78/5) among respondents, we decided to **maintain the existing packaging materials** without significant changes. Instead, targeted messaging, like **"Some Results, Less Irritation"** focuses on customer priorities and reassures them of the familiar H&S quality with added gentleness. This refined approach helps solidify H&S Bare as a distinct product that fulfills specific needs, making it ideal for everyday use by consumers seeking trusted scalp care.



IN-STORE PLACEMENT

CURRENT DISPLAY



END CAP DISPLAY



To optimize product placement and quickly increase in-store brand awareness, securing **end-cap displays** is essential. End-caps naturally draw shopper attention, boosting exposure and the chance of impulse buys.

SHELF TALKERS

Shelf talkers that highlight the product's **Reasons to Believe (RTBs)**—like natural ingredients and gentle care—provides immediate, persuasive information. This combined strategy enhances **visibility**, educates consumers on **product benefits**, and effectively promotes the brand, leading to increased interest and sales.



CURRENT INTERNET SHOPPING PREFERENCES

According to eMarketer, 73% of consumers in France favor buying hair care products in **offline physical stores**. We need to focus primarily on offline promotions. However, 67% of millennials prefer online shopping to in-store shopping (Source: **Onlinedashers**), so we cannot ignore online promotions either.

If H&S Bare also want to target the health-conscious millennials, it should highly increase its presence online.

DISTRIBUTION CHANNELS



Online Presence

Enhance product visibility on major e-commerce platforms such as **Amazon** and other leading online retailers.

- Leverage targeted sponsored display advertising on Amazon to effectively reach **health-conscious consumers**.
- Implement a comprehensive digital marketing strategy that includes **search engine optimization (SEO)**, pay-per-click (PPC) campaigns, social media engagement, and partnerships with health and wellness influencers to expand brand awareness and drive online sales.

Offline Placement



- Secure prominent shelf space in pharmacies and health-focused retail outlets like **Monoprix** to maximize product accessibility for consumers seeking natural and gentle care options.
- **Negotiate** for optimal product placement, including eye-level shelves and end-cap displays, to increase visibility.
- Participate in in-store promotions and events to engage customers directly and foster brand loyalty.

SOCIAL MEDIA

Social media ranked lowest in terms of product awareness/communication tool (**online qualtrics survey**). Consequently, two cost-effective strategies have been proposed to improve visibility online:



Utilizing Pinterest:

H&S Bare can tap into Pinterest as a key platform to engage **health-conscious consumers** through visually appealing content. By creating pins that highlight simple ingredient lists and product benefits, H&S Bare can position itself as a **trusted source** in the clean beauty market. Additionally, developing boards focused on **DIY skincare** and **eco-friendly living** will help frame the brand as a lifestyle choice that aligns with consumer values. Collaborating with **wellness influencers** to curate these boards can further boost the brand's credibility and outreach within the health and wellness community.

Launching a TikTok Campaign

#BareMinimal:

The **#BareMinimal** TikTok campaign aims to engage a **younger audience** by leveraging user-generated content and influencer partnerships. Encouraging customers to share their experiences with **H&S Bare products** will foster authentic connections and community around minimalist skincare. Partnering with **wellness and beauty influencers** will amplify brand awareness, while educational clips on ingredient transparency and sustainability will inform and motivate consumers to choose H&S Bare.



PROMOTIONS

FREE SAMPLES

BUYING AND GIFTING MECHANISM

Consumers who buy one H&S shampoo product will get a **FREE BARE sample** (smaller pack). In this way, we are able to introduce H&S's new line of Bare products to its loyal consumers.



> Customers who get the new product experience packs may develop a deeper sense of goodwill towards H&S, thus increasing loyalty.

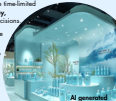
> Customers can try BARE without risk, increasing their awareness and acceptance of BARE.

> If customers have a positive experience with the sample, they may be more inclined to purchase the full-sized product in the future.

POP-UP Store

BARE can run pop-up events in large supermarkets that it partners with offline. The products will be **displayed during the pop-up event** and a **free shampoo experience** will be offered to consumers or H&S members. Pop-ups can attract a large number of customers in a short period of time and increase product awareness. Shampoo experience offers a unique product experience that enhances **interaction with customers** and boosts brand loyalty. And the time-limited event can **inspire consumers to buy**, prompting them to make quick decisions.

Meanwhile, pop-ups often become **social media hotspots** where customers share their experiences, leading to more exposure for the product.



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